

Modelling Financial Markets

Chapter 12: Options and the Volatility Surface



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What Do Option Prices Reveal About the Future Distribution?

- An option pays only in some states: its price is a bet on the **distribution**, not only on the direction, so it reveals what the market expects about volatility and crashes
- Part I, pricing by replication: parity, static spanning, the binomial tree, the Black–Scholes equation, the Greeks and the discrete-hedging error
- Then implied volatility, the smile and a full Bitcoin surface with its risk-neutral density
- Part II, implied volatility as information: variance swaps, the VIX (the Cboe index of 30-day S&P 500 implied volatility), the variance risk premium and 0DTE options (zero days to expiry)
- Case study: are option-implied bounds on the equity premium valid and tight?
- AI (artificial intelligence) for scientific discovery
- Outcome: estimate a surface and a density under no-arbitrage constraints, with bands, and test option-implied forecasts with the right standard errors

Chicago, 1973: Listed Options Begin



Trading floor of the Chicago Board of Trade in 2006; its members founded the Cboe in 1973

Photo: Richie Diesterheft (2006); CC BY 2.0; Wikimedia Commons

- The Chicago Board Options Exchange (Cboe) opened in 1973 as the first exchange for standardised, listed options MacKenzie & Millo (2003)
  - Before: options were negotiated one by one, over the counter
- The same year: the Black–Scholes and Merton pricing papers Black & Scholes (1973), Merton (1973)
- Traders soon used the formula on the floor: theory changed the market it described MacKenzie & Millo (2003)

The Formula and Its Authors



Fischer Black (1938–1995)

Photo: Dalmatine at English Wikipedia; public domain; Wikimedia Commons



Myron Scholes (2008)

Photo: Nobellaureatesphotographer (2008); CC BY-SA 3.0; Wikimedia Commons



Robert C. Merton (2006)

Photo: Digarnick (2006); public domain; Wikimedia Commons

- Key idea: a portfolio of the stock and cash can **replicate** the option, so its price follows from no-arbitrage Black & Scholes (1973)
- Scholes and Merton received the 1997 Nobel Memorial Prize in Economic Sciences; Black had died in 1995

The Data: Volatility Indices and a Bitcoin Option Snapshot

Series	What it measures	Period	Owner
S&P 500	US equity index, daily close	1990–2026	S&P Dow Jones Indices
SPY	exchange-traded fund (ETF) on the S&P 500: open and close	1993–2026	State Street
VIX	30-day implied volatility of the S&P 500	1990–2026	Cboe
VIX9D, VIX3M	the same over 9 days and 3 months	VIX9D: 2011–2026; VIX3M: 2007–2026	Cboe
VVIX	implied volatility of the VIX	2006–2026	Cboe
Bitcoin options	all listed contracts, one dated snapshot	22 Sep 2026	Deribit
DVOL	30-day implied volatility of Bitcoin	2021–2026	Deribit

- Daily data up to 18 September 2026; the option snapshot was taken on 22 September 2026, 07:51 UTC (UTC: Coordinated Universal Time)
- Implied volatility is quoted in annualised %; "vol points" = percentage points of volatility

Notation: Prices, Expiry and Moneyness

- S_t: price of the underlying at t; K: strike; T: expiry; $\tau = T - t$: time left, in years; r: continuously compounded risk-free rate; q: dividend yield
- C, P: prices of a call and a put; $(x)^+ = \max(x, 0)$; σ_{imp}: implied volatility (Section 6)
- European call and put pay off $(S_T - K)^+$ and $(K - S_T)^+$ at T; American options can be exercised at any time up to T
- Both pay-offs are convex in S_T, so an option's value increases with volatility (vega > 0, Section 4)
- Volatility σ: the annualised standard deviation of log returns $\ln(S_t/S_{t-1})$, Normal under Black–Scholes
- Forward $F = Se^{(r-q)\tau}$, log-moneyness $k = \ln(K/F)$ and total implied variance $w = \sigma_{imp}^2\tau$, used in most of the chapter
- ATM (at the money): $k \approx 0$; OTM (out of the money): puts with $K < F$ and calls with $K > F$; ITM (in the money): the opposite

Context-dependent Symbols, Model-Free Bounds and Prerequisites

- $q(K)$: the risk-neutral density of S_T (Sections 2 and 7); in the binomial tree, q is the risk-neutral up-probability (Section 3)
- Q: the pricing measure; $Q(K_i)$: the Cboe mid quote at strike K_i (Section 8)
- Model-free bounds (no dividends): $\max(S - Ke^{-r\tau}, 0) \leq C \leq S$ and $\max(Ke^{-r\tau} - S, 0) \leq P \leq Ke^{-r\tau}$
  - With $r > 0$ an American call on a stock without dividends is never exercised early: it is worth at least $S - Ke^{-r\tau} > S - K$
- Moneyness is measured here against the forward F; Seminar 12 and the smile chart of Section 6 use the spot S (OTM call: $K > S$)
  - The two differ by the factor $F/S = e^{(r-q)\tau}$, close to 1 for short expiries: only strikes between S and F change class
- Assumed: Brownian motion, Itô's lemma and martingales (Chapter 11); HAC (heteroskedasticity and autocorrelation consistent) standard errors (Chapter 8)

Put–Call Parity: What Does No Arbitrage Alone Imply?

- Two portfolios with the same pay-off at T (European options, same K and T, no dividends):
  - A: one call + cash $Ke^{-r\tau}$ (worth K at T) $\Rightarrow \max(S_T, K)$
  - B: one put + one share $\Rightarrow \max(K, S_T)$
- Same pay-off in every state, so the same price today, otherwise there is an arbitrage:
  - $C_t - P_t = S_t - Ke^{-r\tau}$ (with dividend yield q: $S_t e^{-q\tau}$ instead of S_t)
- No model for S is needed: parity uses only no-arbitrage Merton (1973)
- Consequence: a call and a put with the same K and T have the **same** implied volatility

Static Replication: Any Pay-Off from a Bond, a Forward and Options

- Carr–Madan spanning: any twice-differentiable pay-off $f(S_T)$ and any point F (Taylor with integral remainder; proof in the Appendix):
  - $f(S_T) = f(F) + f'(F)(S_T - F) + \int_0^F f''(K)\,(K - S_T)^+ dK + \int_F^\infty f''(K)\,(S_T - K)^+ dK$
  - Reading: a bond, a forward and $f''(K)\,dK$ puts below F and calls above F
  - Priced today (F the forward): $V_0 = e^{-r\tau} f(F) + \int_0^F f''(K)\,P(K)\,dK + \int_F^\infty f''(K)\,C(K)\,dK$
  - $P(K)$, $C(K)$: today's put and call prices at strike K, whatever the model for S Bakshi, Kapadia & Madan (2003)
- Why this price: each piece has a market price today (the bond $e^{-r\tau}$ per unit, the forward 0, the options $P(K)$ and $C(K)$)
  - No model for S and no pricing measure are needed for V_0; the measure Q of Section 3 is needed only to read option prices as expectations, as in the density bullet of the next slide

Static Replication: Three Results Used Later

- "Risk-neutral": a price is the discounted mean pay-off under the pricing measure Q, not under real-world probabilities; Q is constructed in Section 3
- **Variance**: $f(S) = -2\ln(S/F)$ has $f''(K) = 2/K^2$: the strip with weights $1/K^2$ is the variance swap and the VIX (Section 8)
  - Low strikes get the largest weights, so an expensive put wing makes variance expensive
- **Density**: a butterfly $[C(K-h) - 2C(K) + C(K+h)]/h^2 \to \partial^2 C/\partial K^2 = e^{-r\tau} q(K)$ Breeden & Litzenberger (1978)
  - h: the strike step; the risk-neutral density is a price (Section 7)
- Straddles, spreads and protective puts are finite strips with f'' concentrated at one or two strikes; moments and SVIX (simple VIX, the variance index of Martin (2017)): Appendix

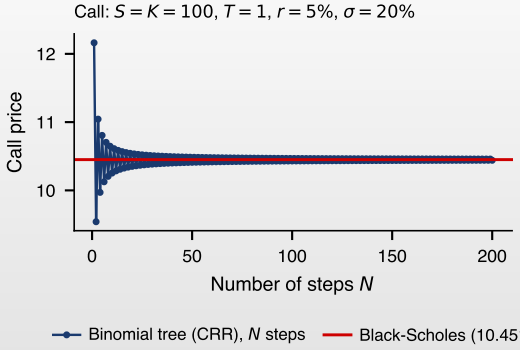
The Binomial Tree: How Do We Price an Option by Replication?

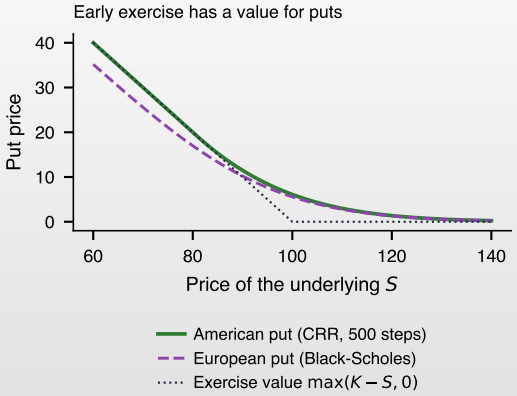
- One period of length Δt: $S \to uS$ or dS, with $d < R = e^{r\Delta t} < u$ (u, d: up and down factors; R: gross riskless return)
- Replicate the call with Δ shares and cash B: $\Delta uS + RB = C_u$ and $\Delta dS + RB = C_d$, where C_u, C_d are the call values after an up and a down move
  - Solution: $\Delta = \dfrac{C_u - C_d}{(u-d)S}$, and the price is $C = \Delta S + B = \dfrac{q\,C_u + (1-q)\,C_d}{R}$
  - $q = \dfrac{R-d}{u-d} \in (0,1)$ (here a probability, not the dividend yield) is the unique probability under which S_t/R^t is a martingale
- The real probability of an up move never enters: risk preferences are already in the price S
- **Fundamental theorem**: no arbitrage $\Leftrightarrow$ an equivalent martingale measure Q exists Harrison & Pliska (1981), Delbaen & Schachermayer (1994)
  - Q is unique exactly when the market is complete; with jumps or stochastic volatility there are many Q, and option prices carry risk premia (Section 8)

The CRR Tree: N Steps and Convergence to Black–Scholes

- Why N steps: one period has only two final states; with N steps the $N+1$ final states approximate the distribution of S_T
- The CRR (Cox–Ross–Rubinstein) tree Cox, Ross & Rubinstein (1979): $\Delta t = T/N$, $u = e^{\sigma\sqrt{\Delta t}}$, $d = 1/u$
  - This choice gives the one-step log return the variance $\sigma^2\Delta t$ (up to terms of order Δt^2), so the tree converges to the geometric Brownian motion of the Black–Scholes model
  - $q = (e^{r\Delta t} - d)/(u - d)$ is the same at every node
- European call: $C_0 = e^{-rT} \sum_{j=0}^{N} \binom{N}{j} q^j (1-q)^{N-j} \left(S_0 u^j d^{N-j} - K\right)^+$
  - j: the number of up moves; the sum is the discounted risk-neutral mean of the pay-off
- American options: value backwards from T, taking max(continuation value, exercise value) at every node

From the Tree to Black–Scholes





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Convergence and the Early-Exercise Premium

- Left: CRR price of a European call with $S_0 = K = 100$, $T = 1$, $r = 5\%$, $\sigma = 20\%$, for $N = 1, \ldots, 200$ steps; right: American vs European put
- Converges to Black–Scholes (10.451): $N = 50$: 10.411; $N = 200$: 10.441; $N = 1000$: 10.449
  - The error is of order $1/N$ and oscillates: $N = 10$ gives 10.253, $N = 11$ gives 10.611 (strike on or between nodes; Seminar 12, A6)
- American put at $S = K = 100$: 6.090 vs European 5.574; early-exercise premium 0.516: deep in the money it pays to receive K now

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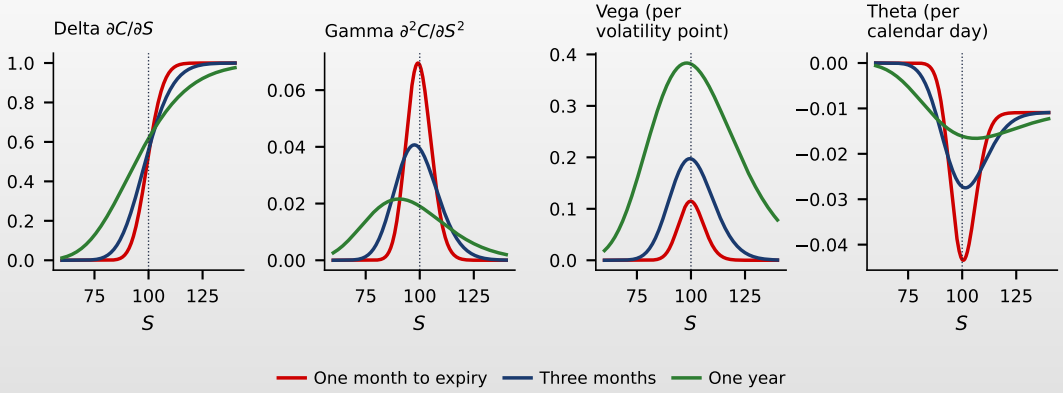
The Black–Scholes Equation: What Price Does Continuous Replication Give?

- Geometric Brownian motion $dS_t = \mu S_t\,dt + \sigma S_t\,dW_t$, with constant σ and r, continuous trading, no costs, short selling allowed
- Replicate the option value $V(S,t)$ with a **self-financing** portfolio Π of Δ_t shares and cash B_t at r: $d\Pi = \Delta\,dS + rB\,dt$
- Itô's lemma, with V_t, V_S, V_{SS} the partial derivatives: $dV = \left(V_t + \mu S V_S + \tfrac{1}{2}\sigma^2 S^2 V_{SS}\right)dt + \sigma S V_S\,dW_t$
- Choose $\Delta = V_S$, start from $\Pi = V$ ($B = V - SV_S$): $d(V-\Pi) = \left(V_t + \tfrac{1}{2}\sigma^2 S^2 V_{SS} - rB\right)dt$; both dW_t and μ drop out
- A riskless position that costs nothing must earn nothing, hence the **Black–Scholes equation** Black & Scholes (1973), Merton (1973): $V_t + \tfrac{1}{2}\sigma^2 S^2 V_{SS} + rSV_S - rV = 0$, with $V(S,T) =$ pay-off
- That μ is irrelevant is a result, not an assumption; Feynman–Kac: $V = e^{-r\tau}E^Q[\text{pay-off}]$ with S drifting at r under Q

The Black–Scholes Formula

- European call and put, no dividends (with yield q: replace S by $Se^{-q\tau}$):
  - $C = S\,\Phi(d_1) - Ke^{-r\tau}\,\Phi(d_2), \qquad P = Ke^{-r\tau}\,\Phi(-d_2) - S\,\Phi(-d_1)$
  - $d_1 = \dfrac{\ln(S/K) + (r + \sigma^2/2)\tau}{\sigma\sqrt{\tau}}, \qquad d_2 = d_1 - \sigma\sqrt{\tau}$, with Φ the standard Normal distribution function
- Reading the two terms:
  - $\Phi(d_2)$ = risk-neutral probability that the call ends in the money
  - $\Phi(d_1)$ = number of shares in the replicating portfolio (the delta)
- Five inputs: S, K, τ, r observed; σ is the only one not observed: it must be estimated or implied

The Greeks: One Identity, All Sensitivities (1/2)



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The Greeks: One Identity, All Sensitivities (2/2)

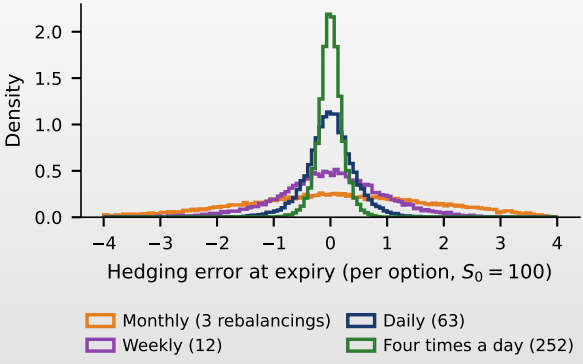
- Greeks: partial derivatives of the price, $\Delta = \partial C/\partial S$, $\Gamma = \partial^2 C/\partial S^2$, vega $\mathcal{V} = \partial C/\partial \sigma$, $\Theta = \partial C/\partial t$, rho $= \partial C/\partial r$
- Delta $\Delta = \Phi(d_1)$ (put: $\Phi(d_1) - 1$); gamma $\Gamma = \varphi(d_1)/(S\sigma\sqrt{\tau})$, φ the standard Normal density; key identity $S\varphi(d_1) = Ke^{-r\tau}\varphi(d_2)$
- Vega $= S\varphi(d_1)\sqrt{\tau} = \Gamma S^2\sigma\tau$: for one expiry gamma and vega are proportional (Seminar 12, A1, A7); theta $\Theta = rC - rS\Delta - \frac{1}{2}\sigma^2 S^2\Gamma$; rho $= K\tau e^{-r\tau}\Phi(d_2)$
- Call with $K = 100$; short maturities concentrate gamma and theta at the strike, long maturities carry the most vega; vega per vol point, theta per calendar day

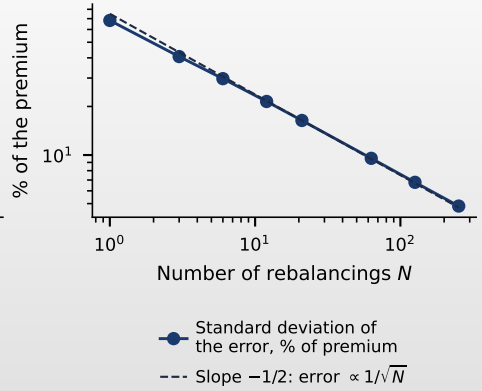
MFM_ch12_greeks

Discrete Delta Hedging: How Much Risk Is Left with N Rebalancings?

- Black–Scholes replication needs continuous rebalancing; in practice the hedge is adjusted N times, at $t_i = iT/N$
- At $t_{\mathbf{0}} = 0$: sell the call at its Black–Scholes price $C_{\mathbf{0}}$, buy $\Delta_{\mathbf{0}} = \Phi(d_{\mathbf{1}})$ shares and keep the cash $B_{\mathbf{0}} = C_{\mathbf{0}} - \Delta_{\mathbf{0}} S_{\mathbf{0}}$
- At t_i, $i = 1, \dots, N-1$: $\Delta_i = \Phi\big(d_{\mathbf{1}}(S_{t_i}, T - t_i)\big)$ and $B_i = B_{i-\mathbf{1}} e^{rT/N} - (\Delta_i - \Delta_{i-\mathbf{1}}) S_{t_i}$, so the portfolio is self-financing
- **Hedging error** at expiry: $\varepsilon_N = \Delta_{N-\mathbf{1}} S_T + B_{N-\mathbf{1}} e^{rT/N} - (S_T - K)^+$
- Simulation: geometric Brownian motion with $\mu = 8\%$ and $\sigma = 20\%$; $S_{\mathbf{0}} = K = 100$, $r = 4\%$, $T = 0.25$; 20 000 paths; $N = 3, 12, 63, 252$
- Why $\mu \neq r$: replication never uses μ; a real drift different from r shows that the error stays centred at 0

Discrete Delta Hedging: Algorithm and Error (1/2)





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Discrete Delta Hedging: Algorithm and Error (2/2)

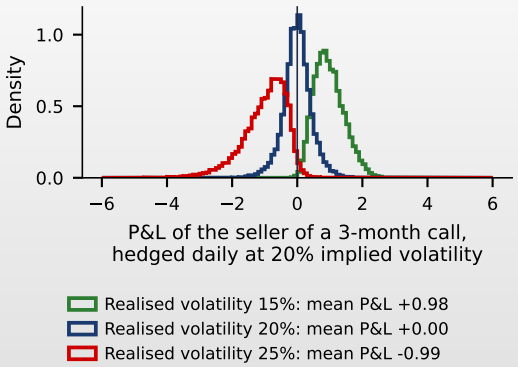
- Left: distribution of the error ε_N for four rebalancing frequencies; right: standard deviation of the error, in % of the premium, against N on log axes
- Black–Scholes premium 4.49 and $d_1 = 0.15$
- Mean error near 0; standard deviation (s.d.) in % of the premium: monthly 40.8%, weekly 21.5%, daily 9.5%, four times a day 4.8%; worst 1% of paths, in currency units per option: -2.68 (weekly), -1.17 (daily)
- Log-log slope -0.48; theory (Appendix): s.d. $\approx \sqrt{\pi/4}\,\mathcal{V}\sigma/\sqrt{N}$ ($\mathcal{V}$: vega), 1.01, 0.44, 0.22 vs simulated 0.96, 0.43, 0.22 ($N = 12, 63, 252$); costs grow like N

MFM_ch12_hedge_error

Derivation: the Gamma-Weighted Volatility P&L

- Sell the option at σ_{imp} (V^{imp}: its Black–Scholes value at σ_{imp}) and hold $\Delta = \partial_S V^{imp}$; the price moves with σ_{real}: $dS = \mu S\,dt + \sigma_{real} S\,dW_t$
- Itô on V^{imp}: $dV = V_t\,dt + \Delta\,dS + \frac{1}{2}\Gamma\sigma_{real}^2 S^2 dt$; the equation at σ_{imp} gives $V_t = rV - rS\Delta - \frac{1}{2}\sigma_{imp}^2 S^2\Gamma$
- Short option + Δ shares + cash at r, self-financing: $d\,\text{P\&L} = r\,\text{P\&L}\,dt + \frac{1}{2}\Gamma_t S_t^2\left(\sigma_{imp}^2 - \sigma_{real}^2\right)dt$, so over the life
  - $\text{P\&L} = \int_0^T e^{r(T-t)}\,\frac{1}{2}\,\Gamma_t S_t^2\left(\sigma_{imp}^2 - \sigma_{real,t}^2\right)dt$: path-dependent, weighted by Γ, large near K and near T
- A short variance swap pays $\sigma_{imp}^2 - \sigma_{real}^2$ with constant weights; a delta-hedged option is a variance bet with random weights
- First-order size: vega $\times$ (implied $-$ realised), checked on the next slide
  - Why: vega $= \Gamma S^2\sigma\tau$ (Section 4), so $\frac{1}{2}\Gamma S^2(\sigma_{imp}^2 - \sigma_{real}^2)\tau = \frac{1}{2}\Gamma S^2(\sigma_{imp} + \sigma_{real})(\sigma_{imp} - \sigma_{real})\tau \approx \Gamma S^2\sigma(\sigma_{imp} - \sigma_{real})\tau = \text{vega} \times (\sigma_{imp} - \sigma_{real})$

Selling Volatility at 20%: Three Outcomes



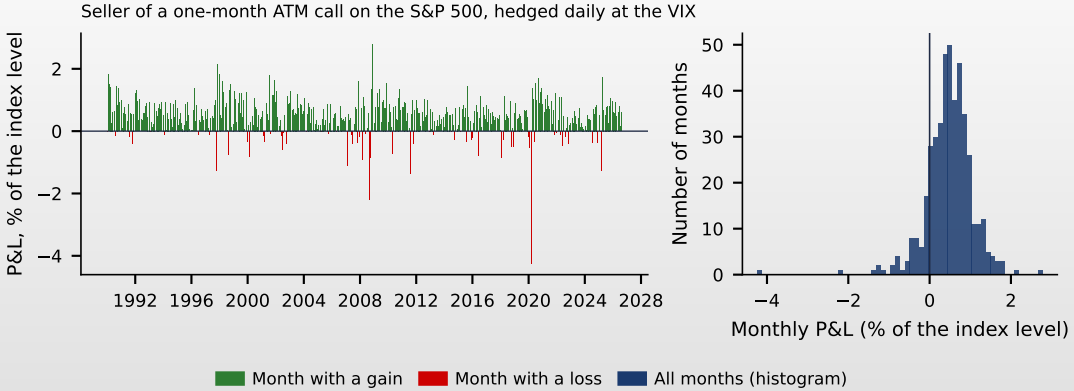
- Three-month call sold at 20% implied volatility, hedged daily, with realised volatility 15%, 20% or 25%
- Realised 15%: mean P&L $+0.98$, positive on 99.8% of paths
- Realised 20%: mean $+0.00$; only discrete-hedging noise remains (s.d. 0.43)
- Realised 25%: mean -0.99, positive on only 2.2% of paths
- Each mean is close to vega $\times$ 5 vol points $= 0.197 \times 5 \approx \pm 0.99$: a clean bet on volatility

MFM_ch12_vol_mismatch

Selling S&P 500 Volatility: the Strategy Tested

- The question: is implied volatility priced, on average, above realised volatility? A sold, delta-hedged option answers it directly
- Every 21 trading days t_0: sell a 21-day ATM call ($K = S_{t_0}$), priced by Black–Scholes with $\sigma = VIX_{t_0}/100$
- Hedge it daily with $\Delta_i = \Phi(d_1)$ at the same volatility; interest and dividends are ignored ($r = q = 0$)
- Monthly P&L, in % of the index: $\text{P\&L} = 100\left[C_0 + \sum_{i=0}^{20} \Delta_i \left(S_{t_{i+1}} - S_{t_i}\right) - (S_{t_{21}} - K)^+\right]/S_{t_0}$
- Why the VIX: it is the 30-day implied volatility available daily since 1990 in the course data
- Why ATM: vega is largest near the money, so the P&L mainly measures volatility

Thirty-Six Years of Selling S&P 500 Volatility (1/2)



MFM_ch12_delta_hedged_sp500

Thirty-Six Years of Selling S&P 500 Volatility (2/2)

- Left: P&L of every month, in % of the index (green: gain, red: loss); right: histogram of the monthly P&L
- 440 months from 1990-01: mean 0.48% a month, Newey–West $t = 16.0$ Newey & West (1987)
- Positive in 86% of months
- Worst month -4.25% (2020-03), skewness -1.46: many small gains, a few large losses
- Consistent with a **volatility risk premium**
  - On real option quotes, delta-hedged option gains are negative for the buyer Bakshi & Kapadia (2003)

MFM_ch12_delta_hedged_sp500

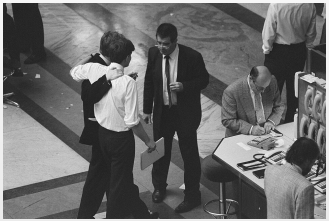
Implied Volatility: Which σ Explains the Market Price?

- **Implied volatility** σ_{imp}: the σ that makes the Black–Scholes price equal the market price
  - $BS(S, K, \tau, r, \sigma_{imp}) = C^{market}$; $BS(\cdot)$: the Black–Scholes formula, C^{market}: the observed price
  - The solution is unique because vega > 0: the price increases in σ
  - There is no closed form: σ enters both $\Phi(d_1)$ and $\Phi(d_2)$, so the equation is solved numerically
- Traders quote options in implied volatility, not in money: it is comparable across strikes, maturities and assets
- If Black–Scholes were right, all options on one asset would have the **same** implied volatility

Implied Volatility: Newton Inversion

- Newton's method: $\sigma_{k+1} = \sigma_k - \dfrac{BS(\sigma_k) - C^{market}}{\mathcal{V}(\sigma_k)}$
  - σ_k: the k-th iterate; $\mathcal{V}(\sigma_k)$: vega at σ_k, the slope of the price in σ
  - Why Newton: vega is the exact derivative of the price in σ, so convergence is quadratic near the solution
- Example: $S = K = 100$, three months, $r = 2\%$, market price 4.50; start at $\sigma_0 = 20.00\%$
  - First step: $BS(\sigma_0) = 4.2322$, $\mathcal{V} = 19.848 \Rightarrow \sigma_1 = 21.3495\%$
  - The second step changes σ by less than 10^{-6}: $\sigma_{imp} = 21.3495\%$
- When vega is close to zero (deep in or out of the money, very short expiries), a Newton step can leave the no-arbitrage range: then use a bracketing solver

After October 1987: the Smile Appears



Amsterdam stock exchange after the crash, 21 October 1987

Photo: Bart Molendijk / Anefo (1987); CC0; Wikimedia Commons

- Before 1987 index options had a nearly flat implied volatility across strikes Rubinstein (1994)
  - Since the crash, low-strike puts are much more expensive: the **skew**
- October 1986 – August 1987: option prices showed crash fears Bates (1991)
  - Not strongly in the two months immediately before the crash
- **Smile**: implied volatility as a function of K; **term structure**: as a function of T; **surface**: both

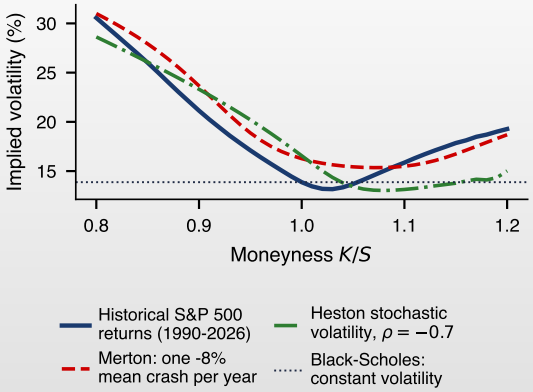
Why Smiles Exist and How Models Produce Them

- **Fat tails**: large moves are more frequent than the Normal distribution allows (Chapter 1), so deep OTM options are worth more than Black–Scholes says
- **Leverage and volatility feedback**: when prices fall, volatility rises Christie (1982); negative skewness makes low-strike puts dearer
- **Crash fear**: the market prices a negative jump risk, visible in put prices Bates (1991)
- **Demand for insurance**: investors buy puts, and intermediaries, who cannot fully hedge the risk, charge a premium for them Gârleanu, Pedersen & Poteshman (2009)

Model	Idea	Fits best
Jumps Merton (1976)	Poisson jumps added to the Brownian motion	steep short-dated smiles
Stochastic volatility Heston (1993), Hull & White (1987)	variance follows its own mean-reverting process, correlated with S	skew and term structure of longer maturities
Local volatility Gatheral (2006)	$\sigma(S, t)$ read off the whole surface (the formula of Dupire (1994))	matches every quoted price today, exotic options
Parametric smile, SVI (stochastic volatility inspired) Gatheral & Jacquier (2014)	five parameters per expiry, no dynamics	interpolation and quoting (Section 7)

- Processes: Chapter 11; the implied-volatility surface in detail: Franke, Härdle & Hafner (2019), Čížek, Härdle & Weron (2011)

Three Sources of a Smile (1/2)



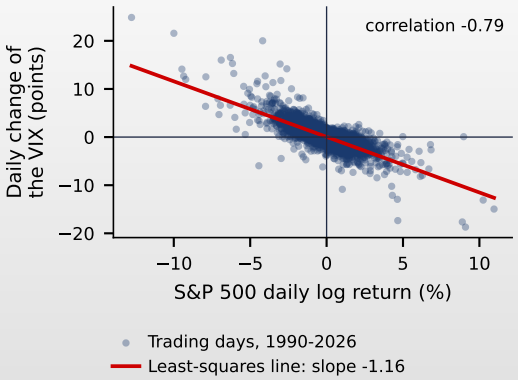
MFM_ch12_smile_models

Three Sources of a Smile (2/2)

- One-month implied volatility from three sources: the historical S&P 500 distribution, a jump model and a stochastic-volatility model
- History: 9 225 overlapping monthly returns (skewness -1.27, excess kurtosis 6.8), rescaled to a martingale ($r = 0$, no risk adjustment)
  - 30.6% at $K/S = 0.8$, 13.9% ATM, 19.3% at $K/S = 1.2$
- Merton jumps (one crash of about -8% a year): 31.0% at $K/S = 0.8$ vs 16.3% ATM
- Heston (price–variance correlation $\rho = -0.7$): 28.6% at $K/S = 0.8$, 16.6% ATM, 15.0% at $K/S = 1.2$
- Risk-neutral laws are more left-skewed than realised ones Jackwerth (2000): priced crash risk steepens market smiles further

MFM_ch12_smile_models

The Leverage Effect in the Data



- Daily S&P 500 log return (%) vs the change of the VIX (index points) on the same day, 1990–2026
- Correlation -0.79 over 9 244 days: implied volatility rises when the market falls
- Slope -1.16 VIX points per 1% return
  - Steeper on down days (-1.39) than on up days (-1.01)
  - Mean VIX change: $+0.88$ on down days, -0.76 on up days
- The $\rho < 0$ of Heston and the asymmetry of GJR-GARCH (Glosten–Jagannathan–Runkle, Chapter 5)
  - Low-strike puts gain both from the fall and from the rise in volatility, hence they are expensive

MFM_ch12_leverage

The Bitcoin Surface: How to Describe the Smile Without Arbitrage?

- Deribit lists European options on Bitcoin, traded 24/7 Deribit DVOL
  - The options are **inverse**: premium and pay-off in bitcoin (BTC), not in US dollars (USD)
  - Each expiry has its own forward F
  - DVOL: Deribit's 30-day implied-volatility index
- Our snapshot: 22 September 2026, 07:51 UTC, with 9 expiries that have at least two days left and 375 OTM options with a positive bid
- Why Bitcoin: it is the only asset in the course data with a full option chain across strikes and expiries
- Hedging Bitcoin options: Matic, Packham & Härdle (2023)

Inverse Options: Why the USD Formulas Still Apply

- An inverse call pays $(S_T - K)^+/S_T$ BTC at T; converted at S_T USD per BTC this is exactly $(S_T - K)^+$ USD, the pay-off of a standard USD call
  - Example: $K = 90\,000$, $S_T = 100\,000$: the holder receives $10\,000/100\,000 = 0.1$ BTC, worth 10 000 USD
- Same pay-off, same value: a premium of p BTC paid today costs $p \times S$ USD at today's index S, so $p \times S$ is the USD price of the standard call
  - Black–Scholes/Black-76 and the exchange's mark IV (its reference implied volatility) therefore apply to $p \times S$ unchanged; this is the conversion used in the smile, density and VIX slides
- The rate: Deribit quotes a forward F for each expiry; this chapter uses $e^{r\tau} = F/S$, the carry implied by the futures basis, in place of a Treasury rate
  - Check: an inverse put with $K = 90\,000$ ends at $S_T = 75\,000$. What does it pay in BTC and in USD? (Answer: 0.2 BTC, i.e. 15 000 USD)

The SVI Smile: Total Variance and Parameters

- Work with the **total implied variance** $w(k) = \sigma_{imp}^2(k)\,\tau$ at log-moneyness $k = \ln(K/F)$
- SVI parameterisation (stochastic volatility inspired) Gatheral & Jacquier (2014):
  $w(k) = a + b\left(\rho\,(k-m) + \sqrt{(k-m)^2 + s^2}\right)$
  - a: level
  - b: slope of the wings
  - ρ: tilt (negative = put skew)
  - m: shift
  - s: curvature at the bottom

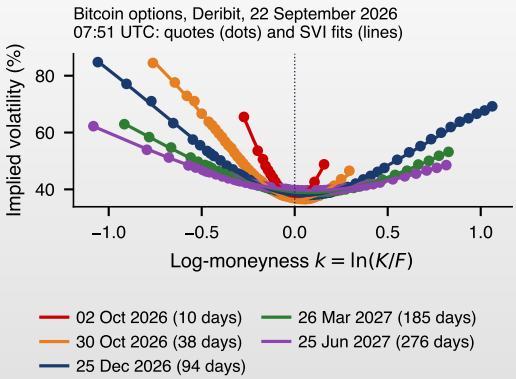
The SVI Smile: Why This Shape and How We Fit It

- Why w and k: the no-arbitrage conditions (next slide) are written directly in $w(k)$, and different expiries become comparable
- Why SVI: as $|k| \to \infty$, w becomes linear in k, the shape that Lee (2004) allows for the wings; five parameters are estimated from 24–58 quotes per expiry
- Wing slopes: $b(1-\rho)$ on the left and $b(1+\rho)$ on the right
- Fit: for each expiry, $\min \sum_j \left(w(k_j) - \sigma^2_{imp,j}\tau\right)^2$ (least squares on w), with parameter bounds and six starting points
- Each fit is then checked against the no-arbitrage constraints

No-Arbitrage Constraints on the Smile

- **Wings**: Lee (2004) bounds the asymptotic slope, $\limsup_{|k|\to\infty} w(k)/|k| \le 2$; for SVI $b(1+|\rho|) \le 2$ is necessary, and $w \ge 0$ needs $a + bs\sqrt{1-\rho^2} \ge 0$
  - A steeper wing means fatter tails of S_T under Q (moment formula: Appendix)
- **Butterfly** (call prices convex in K, density $q \ge 0$), with $w' = \partial_k w$, $w'' = \partial_k^2 w$ Gatheral & Jacquier (2014): $g(k) \ge 0$ is exactly a nonnegative density
  - $g(k) = \left(1 - \frac{kw'}{2w}\right)^2 - \frac{w'^2}{4}\left(\frac{1}{w} + \frac{1}{4}\right) + \frac{w''}{2} \ge 0$ for all k, plus $d_+(k) = -k/\sqrt{w} + \sqrt{w}/2 \to -\infty$ as $k \to \infty$ (Gatheral & Jacquier (2014), Lemma 2.2)
- **Calendar**: $\partial_\tau w(k,\tau) \ge 0$ for every k: total variance cannot fall with maturity
- Slice-by-slice least squares imposes none of them; SSVI, the surface version of SVI, has simple sufficient conditions (Gatheral & Jacquier (2014), Theorems 4.1–4.2)

The Bitcoin Smile



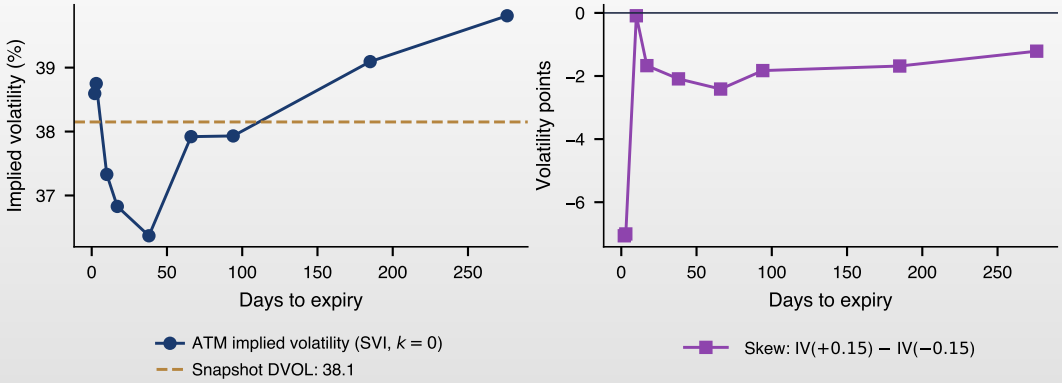
- Dots: mark IV of OTM options; lines: SVI fits, five expiries
- A true **smile**: both wings rise, unlike the one-sided equity skew
  - Bitcoin can jump up as well as down Zulfiqar & Gulzar (2021)
- Short expiries have the steepest wings: a jump over a few days weighs more relative to $\sigma\sqrt{\tau}$
- SVI root mean squared error: at most 0.70 vol points
- Puts dearer than calls at the same $|k|$: the skew is negative at all 9 expiries

MFM_ch12_btc_smile

Are the Nine Bitcoin Fits Arbitrage-Free?

- For 2 October, 9 October and 27 November, the parameter a hits the lower bound imposed in the optimisation (-1): the individual parameters are not precisely identified
- Wings: largest slopes 0.51 (right) and 2.30 (left), the left wing exceeds Lee's upper bound of 2
- Butterfly: $g(k) < 0$ somewhere on the grid $k \in [-1.5, 1.5]$ for 2 of 9 expiries (lowest -0.017, 2 October 2026)
- Calendar: 1 of 8 adjacent pairs crosses: $w(\text{2 October 2026}) > w(\text{9 October 2026})$ on 9% of $k \in [-0.5, 0.5]$, by at most 0.0018
  - Separate unconstrained fits can violate cross-expiry restrictions; these fitted curves do not establish arbitrage in executable market quotes
- Remedy: estimate the surface jointly under the constraints (SSVI, or least squares with $g \geq 0$ and $\partial_\tau w \geq 0$, also imposing the wing conditions)

Term Structure and Skew



MFM_ch12_btc_term

Expiry, Skew and the DVOL Index

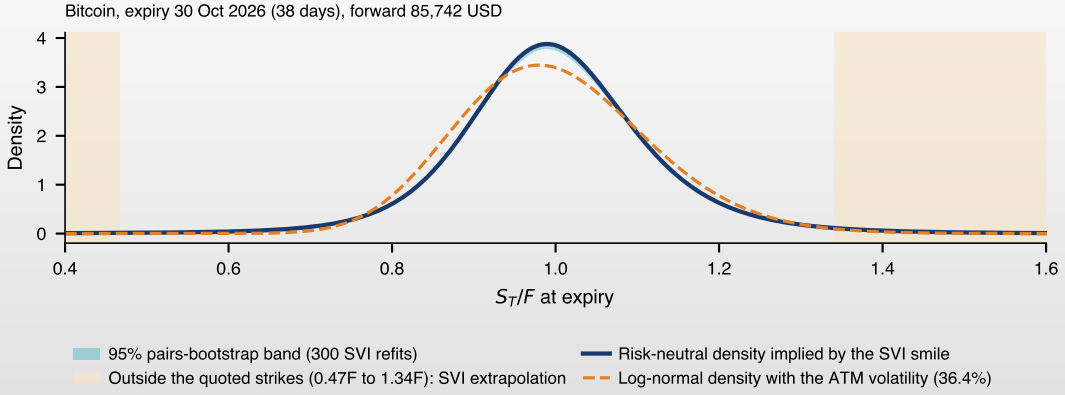
- Left: ATM implied volatility by expiry and the DVOL index; right: skew $= \mathrm{IV}(k = +0.15) - \mathrm{IV}(k = -0.15)$, with IV the implied volatility at that log-moneyness
- ATM between 36.4% and 39.8%; longest expiry (276 days) 39.8%: the curve falls at short maturities, then rises beyond about one month
- DVOL 38.1 vs ATM 36.8% and 36.4% around 30 days: a variance-strip index need not lie between ATM volatilities
- Skew closest to 0 at 10 days (-0.1), most negative at 66 days (-2.4), then -1.2 at 276 days
  - At 2 and 3 days, $k = \pm 0.15$ lies beyond the quotes (at most $k = 0.11$ and 0.14): the skew of about -7 points is an SVI extrapolation there
- Limitation: one snapshot is one day

MFM_ch12_btc_term

The Risk-Neutral Density: From Prices to a Density

- From Breeden & Litzenberger (1978) (Section 2): $q(K) = e^{r\tau}\,\partial^2 C(K)/\partial K^2$, and $q \geq 0$ is the butterfly condition above
- From noisy, discrete quotes this is an ill-posed inverse problem: differentiating twice amplifies the noise
  - Fit a smooth smile (SVI), then differentiate (other estimators: Appendix)
- Uncertainty: pairs bootstrap of the quotes, refit, differentiate: pointwise bands for q and intervals for tail probabilities
- Beyond the last quoted strike the tail is an extrapolation: report where the quotes end
- q mixes probabilities and risk aversion: pricing kernel $\propto q/p$, with p the physical density Aït-Sahalia & Lo (1998), Grith, Härdle & Park (2013)
  - Its non-monotone shape is the pricing-kernel puzzle Jackwerth (2000)

What the Market Prices for Bitcoin (1/2)



MFM_ch12_btc_rnd

What the Market Prices for Bitcoin (2/2)

- Density from the SVI smile of the expiry closest to 30 days: 38 days, forward 85 742 USD, ATM 36.4%
- Band: 95% pairs bootstrap; benchmark: a log-normal density; shaded: outside the 56 quotes ($0.47F$ to $1.34F$)
- Fall of more than 30%: 1.21% $[1.08, 1.24]$ vs 0.14% log-normal, about 8 times more
  - 0.13 of the 1.21 points lie below the lowest quoted strike
- Fall of more than 20%: 4.28% vs 3.27%; rise above 20%: 5.3% in both
- Narrow band ($\pm 2.0\%$ at the centre, $\pm 7\%$ at $0.7F$): mark volatilities are already smoothed, so it shows fitting noise, not bid–ask uncertainty
- Prices of insurance, not forecasts: they include the premium for crash risk

MFM_ch12_btc_rnd

Variance Swaps: What Does Future Variance Cost?

- A **variance swap** pays at T: notional $\times$ (realised variance $-$ strike K_{var})
  - Realised variance $\frac{252}{n}\sum r_t^2$, r_t: the n daily log returns to T
  - Fair strike: the risk-neutral expected variance Demeterfi, Derman, Kamal & Zou (1999)
  - $K_{var} = \frac{2e^{r\tau}}{\tau}\left(\int_0^F \frac{P(K)}{K^2}\,dK + \int_F^\infty \frac{C(K)}{K^2}\,dK\right)$ (spanning with $f = -2\ln(S/F)$, Section 2)
- Why it works: Itô on $\ln S$ (continuous paths, $r = q = 0$): $-2\ln(S_T/F) = \int_0^T \sigma_t^2\,dt - 2\int_0^T dS_t/S_t$, and the last term is a Q-martingale Britten-Jones & Neuberger (2000)
  - "Model-free" means free of a model for σ_t, not of continuity: with crash jumps the strip understates expected realised variance Carr & Wu (2009) (Appendix)
- Buyer of variance = insurance against turbulence; seller = earns a premium, pays in crashes Carr & Wu (2009)

The VIX Index: the Cboe Formula

- The discrete version of the strip K_{var} from the previous slide Cboe (2025): $\sigma^2 = \frac{2}{T}\sum_i \frac{\Delta K_i}{K_i^2} e^{RT} Q(K_i) - \frac{1}{T}\left(\frac{F}{K_0} - 1\right)^2$
  - T: time to expiry in years
  - R: risk-free rate
  - K_i: the strikes
  - K_0: the first strike at or below the forward index level F
  - $Q(K_i)$: bid–ask mid of the put for $K_i < K_0$, of the call for $K_i > K_0$, the average of both at K_0
  - The second term corrects for the strip being split at K_0 rather than exactly at F

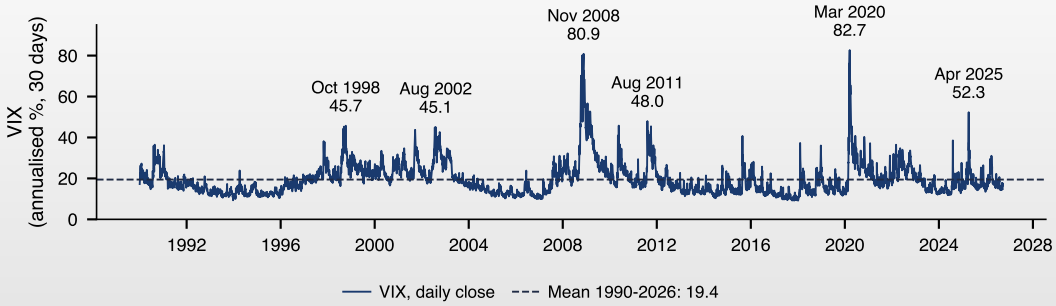
The VIX Index: Computation Rules

- Cboe Volatility Index (VIX), since 1993; since 2003 computed from S&P 500 options with the formula of the previous slide Cboe (2025)
- $\Delta K_i = (K_{i+1} - K_{i-1})/2$, one-sided at the two ends: at the lowest (highest) strike, ΔK is the full gap to the next higher (lower) strike
- Options with a zero bid are dropped, and each wing stops after two consecutive zero bids
- Two expiries around 30 days, interpolated to exactly 30 days; VIX $= 100\,\sigma$
- VIX futures since 2004, VIX options since 2006 Cboe (2025)
- The VIX is called the "fear gauge" Whaley (2000)

Worked Example: a VIX for Bitcoin

- Cboe rules on our Deribit snapshot: USD mid Q = BTC mid $\times$ index S; F and $e^{RT} = F/S$ from Deribit's forward (Cboe: F from parity, R from Treasury yields)
  - Near expiry: 17 days, 26 OTM options, $\sigma = 39.5\%$; next expiry: 38 days, 56 OTM options, $\sigma = 40.2\%$
- Interpolate the total variances $\sigma_i^2 T_i$ linearly in time to 30 days:
  - $\sigma_{30}^2 = \frac{1}{30}\left[T_1\sigma_1^2 \frac{T_2 - 30}{T_2 - T_1} + T_2\sigma_2^2 \frac{30 - T_1}{T_2 - T_1}\right]$ (days)
- Our Bitcoin VIX: 40.0; Deribit's DVOL at the same moment: 38.1 Alexander & Imeraj (2020); both exceed the ATM volatilities: the variance swap also pays for the wings
- The gap to DVOL, 1.9 vol points, cannot be attributed to truncation: the SVI extrapolation it would require violates Lee's wing condition (Appendix; Seminar 12, A8)

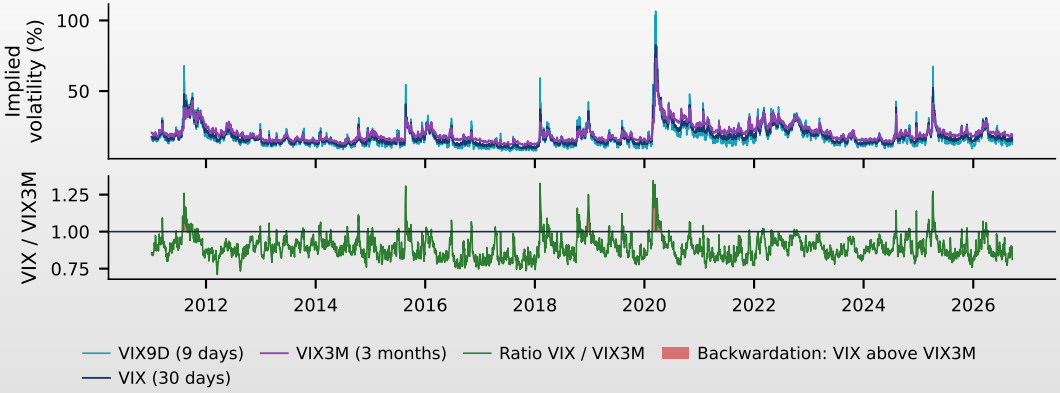
The VIX, 1990–2026



- Daily close with the six highest peaks at least 500 days apart
- Mean 19.4 (5.6% a month), range 9.1–82.7 (2020-03-16, COVID-19); above 30 on 7.9% of days: sudden spikes, slow decay, as in GARCH (Chapter 5)

MFM_ch12_vix_history

The VIX Term Structure (1/2)



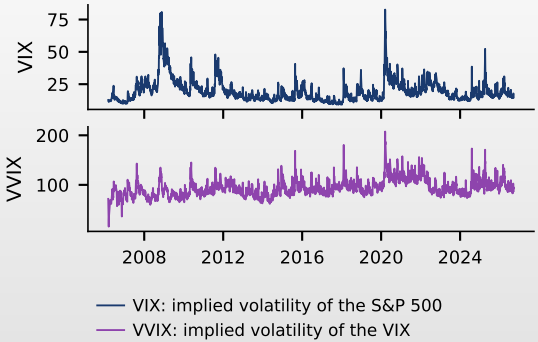
MFM_ch12_vix_term

The VIX Term Structure (2/2)

- Top: implied volatility over 9 days, 30 days and 3 months; bottom: the ratio VIX / VIX3M, 2011–2026
- Normally upward sloping (**contango**): mean VIX / VIX3M = 0.89; VIX9D below the VIX on 73% of days
- Inverted (**backwardation**) on 7.6% of days, always in crises: fear is concentrated in the near term
- Over the next 21 days, after backwardation vs in contango:
  - S&P 500 log return 2.88% vs 0.80%; realised volatility 26.7% vs 13.6%
  - High risk and high expected return after panics Bollerslev, Tauchen & Zhou (2009)
- The comparison is descriptive: the 21-day windows overlap, and backwardation days are few and clustered in a handful of crises

MFM_ch12_vix_term

The Volatility of Volatility



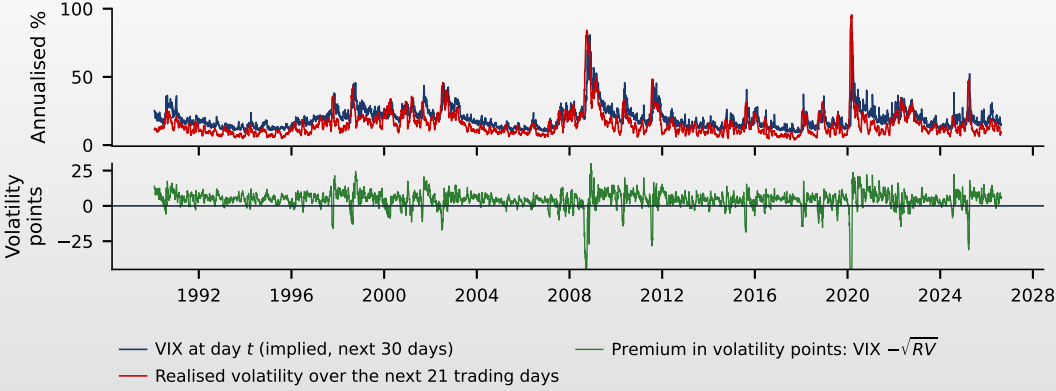
- VIX (top) and VVIX (bottom), daily closes, 2006–2026
- Mean VVIX 93.5; mean daily ratio VVIX/VIX 5.3
  - Both are annualised implied volatilities, of percentage changes of the VIX and of the S&P 500: in relative terms the VIX is expected to move about 5.3 times more than the index
- VVIX peak 207.6 on 2020-03-16, the day of the VIX peak
- Daily changes of VIX and VVIX: correlation 0.71
- Volatility is itself random, the idea behind stochastic-volatility models such as Heston Heston (1993)

MFM_ch12_vvix

The Variance Risk Premium

- Variance risk premium (VRP) Carr & Wu (2009), Bollerslev, Tauchen & Zhou (2009); three versions that must not be confused:
  - **Economic (ex ante)**: $E_t^Q[RV_{t,t+\mathbf{21}}] - E_t^P[RV_{t,t+\mathbf{21}}]$; $VIX_t^{\mathbf{2}}$ estimates the first term, the second needs a forecast
  - **Ex post** (used here): $VIX_t^{\mathbf{2}} - RV_{t,t+\mathbf{21}}$, the realised P&L of the seller of a variance swap, known only at $t+21$
  - **Ex-ante proxy**: $VIX_t^{\mathbf{2}} - RV_{t-\mathbf{21},t}$, past variance as the forecast of E_t^P; known at t, so it can serve as a predictor (Section 11)
- $RV_{t,t+\mathbf{21}} = \frac{\mathbf{252}}{\mathbf{21}} \sum_{i=\mathbf{1}}^{\mathbf{21}} r_{t+i}^{\mathbf{2}}$ (annualised, in $\%^{\mathbf{2}}$, r_{t+i} the daily log returns in %): roughly the same month as the 30 calendar days of the VIX
- Positive on average if investors dislike states with high volatility, which are also bad states for wealth
- Overlapping 21-day windows are autocorrelated: Newey–West with at least 21 lags Newey & West (1987), plus longer bandwidths, since persistent volatility can extend the dependence

Implied vs Realised Volatility, S&P 500 (1/2)



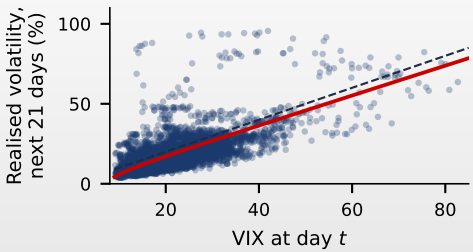
MFM_ch12_vrp

Implied vs Realised Volatility, S&P 500 (2/2)

- Top: VIX and the volatility realised over the next 21 trading days; bottom: their difference VIX − RV, 1990–2026, with RV $= \sqrt{RV_{t,t+\mathbf{21}}}$ in vol points
- 9 203 days: mean VIX 19.4, mean realised 15.3
  - Premium 4.09 vol points (Newey–West standard error, SE, 0.27); in variance, 113 $\%^{\mathbf{2}}$, $t = 5.5$
- Positive on 86% of days; the exceptions are crashes
  - Worst −72.0 vol points, window from 2020-02-20 (COVID-19)
- Same message as the delta-hedged option: sellers of volatility are paid on average and lose in crises

MFM_ch12_vrp

Is the VIX a Good Forecast?



- Mincer–Zarnowitz Mincer & Zarnowitz (1969): $RV_{t,t+\mathbf{21}} = \alpha + \beta\, VIX_t^{\mathbf{2}} + \varepsilon_t$
  - Unbiased: $\alpha = 0$, $\beta = 1$; Newey–West errors, 21 lags
- $\hat{\alpha} = -51.9$ (34.4), $\hat{\beta} = 0.86$ (0.10), $R^{\mathbf{2}} = 0.37$
  - Separately neither differs from $(0, 1)$: $t = -1.51$ and -1.34
- But the estimates correlate -0.90: joint Wald $\chi^{\mathbf{2}}_{\mathbf{2}} = 41.7$, $p = 8.9 \cdot 10^{-\mathbf{10}}$, unbiasedness rejected
- Chart axes in volatility (%), the fit estimated in variance drawn back in volatility; most points lie below the 45-degree line
- Past realised variance alone: $R^{\mathbf{2}} = 0.29$
  - With both: VIX keeps its weight (0.77), past variance adds little (0.08, SE 0.13)

MFM_ch12_vix_rv_mz

Forecast-Evaluation Tools

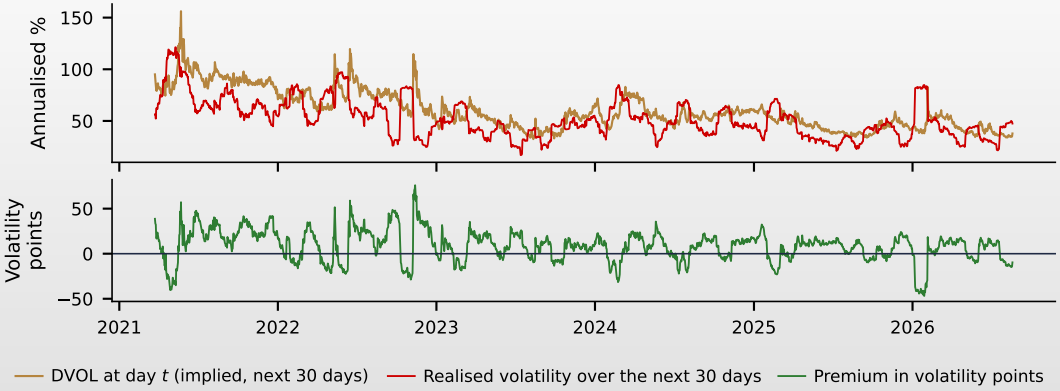
- **Instrumental variables**: the lagged VIX^2 instruments the VIX^2 measured with error; a large first-stage t (regression on the instrument) means a strong instrument
- **HAR-RV**: forecast the realised variance of the next month by a regression on its averages over the past day, week and month
- **QLIKE** loss $L = x - \ln x - 1$ with $x = RV/\hat{\sigma}^2$: zero for a perfect forecast, and it punishes forecasts that are too low more than forecasts that are too high
  - Example: $RV = 100$; forecast 50 gives $x = 2$, $L = 0.31$; forecast 200 gives $x = 0.5$, $L = 0.19$
- **Diebold–Mariano**: a t-test that the mean loss difference between two forecasts is zero, with a HAC standard error because overlapping targets make the differences autocorrelated

Logs, Instruments and HAR-RV: Inference Done Right

Specification	$\hat{\beta}$	SE	$t(\beta = 1)$	Note
Levels, OLS	0.86	0.10	-1.34	joint Wald $p = 8.9 \cdot 10^{-10}$
Logs, OLS	1.06	0.035	1.65	intercept -0.94, $R^2 = 0.57$
Logs, instrumental variables	1.02	0.042	0.60	first-stage $t = 37.7$

- Levels are dominated by 2008 and 2020; in logs the slope is close to 1 and the premium is a proportional shift (intercept < 0)
- VIX^2 measures expected variance with error, which attenuates the ordinary least squares (OLS) slope
  - The instrument, VIX^2 21 days earlier Christensen & Prabhala (1998), barely moves the slope
  - Valid only if the lag is uncorrelated with the forecast error (untestable with one instrument)
- Against HAR-RV Corsi (2009), in sample the HAR terms add information: $\chi^2_3 = 14.2$, $p = 0.003$
  - Out of sample from 2000: VIX about 6% better in QLIKE loss, Diebold–Mariano $p = 0.35$ Diebold & Mariano (1995): not significant
  - Test details: Appendix

The Variance Risk Premium of Bitcoin (1/2)



MFM_ch12_vrp_btc

The Variance Risk Premium of Bitcoin (2/2)

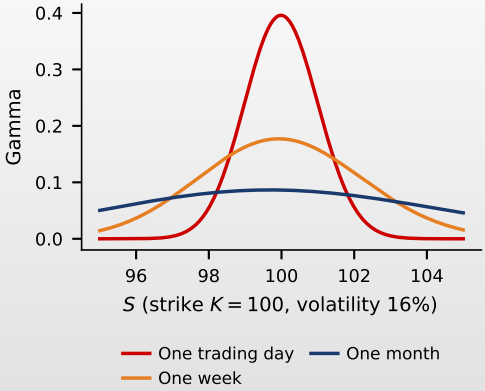
- Top: DVOL and Bitcoin volatility realised over the next 30 calendar days (Bitcoin trades every day); bottom: their difference, 2021–2026
- 1 975 days: mean DVOL 60.3 vs realised 51.7
  - Premium 8.5 vol points (SE 1.6, $t = 5.3$)
  - About 2.1 times the S&P 500 premium in vol points, but smaller relative to the level: 14% of mean DVOL vs 21% of mean VIX
- Positive on 71% of days, less often than the S&P 500; worst -46.9 vol points (window from 2026-01-28)
- Short sample: 66 non-overlapping 30-day periods Alexander & Imeraj (2020)

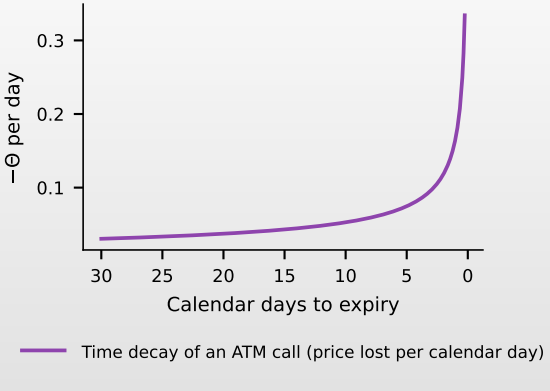
MFM_ch12_vrp_btc

0DTE Options: What Changes When Expiry Is Today?

- **0DTE** options are traded on the day they expire Cboe 0DTE: S&P 500 options now expire every trading day
- More than 75% of retail trades in S&P 500 options involve 0DTE contracts, and retail investors lose money on them Beckmeyer, Branger & Gayda (2023)
- 0DTE options were 48% of index-option trading in August 2023 Brogaard, Han & Won (2023)
- More 0DTE trading is followed by higher index volatility, mostly through speculative retail trades Brogaard, Han & Won (2023)
- Ultra-short pricing needs skewness and kurtosis corrections Bandi, Fusari & Renò (2023)
- From Section 4: as $\tau \to 0$, gamma and theta explode at the money

Gamma and Time Decay Near Expiry (1/2)





MFM_ch12_0dte_gamma

Gamma and Time Decay Near Expiry (2/2)

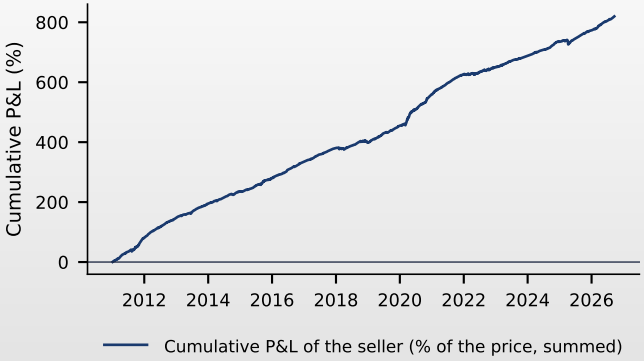
- Left: gamma of a call with $K = 100$ one day, one week and one month before expiry; right: daily time decay of an ATM call
- Inputs: $S = K = 100$, $\sigma = 16\%$, $r = 0$; gamma counts trading days ($\tau = 1/252$ and $21/252$), time decay counts calendar days ($\tau = 1/365$ and $30/365$), as on the two axes
- ATM gamma one day before expiry 0.396 vs 0.086 one month before: 4.6 times larger ($= \sqrt{21}$); a 1% move in the last day changes delta by about 0.4
- Time decay 0.167 in the last day vs 0.030 with 30 days left, about 5.5 times more: the seller collects fast decay and carries large gamma risk
  - The ATM value, about $0.4\, S\sigma\sqrt{\tau} = 0.33$, is lost entirely during that day, roughly twice the starting rate

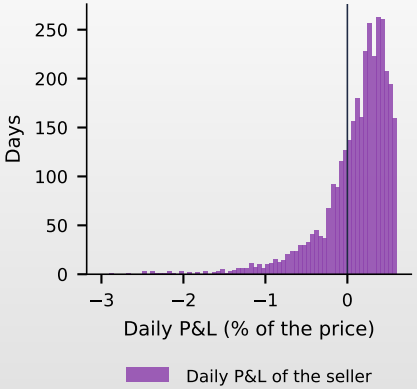
MFM_ch12_0dte_gamma

Selling a Same-Day Straddle: the Method

- The question: does the seller of an option expiring today also earn the volatility premium of one-month options?
- The course data contain no 0DTE prices, so we build a stylised test on SPY, 2011–2026 (VIX9D starts in 2011): sell an ATM straddle (a call and a put with $K = S_t^{open}$) at the open and settle it at the close
- Premium: $\Pi_t = \sqrt{2/\pi}\,\sigma_{day}\,S_t^{open}$, the approximate Black–Scholes value of an ATM straddle ($E|Z| = \sqrt{2/\pi}$ for a standard normal Z)
- $\sigma_{day} = \dfrac{VIX9D_{t-\mathbf{1}}}{100}\sqrt{\omega/252}$: the previous day's 9-day implied volatility, scaled to one session
- $\omega = 0.74$: the share of the session (open to close) in daily variance, estimated on 1993–2010, before the test period
- The seller's daily P&L, in % of the opening price: $100\left(\Pi_t/S_t^{open} - |S_t^{close}/S_t^{open} - 1|\right)$

Selling a Same-Day Straddle: a Stylised Test (1/2)





MFM_ch12_0dte_straddle

Selling a Same-Day Straddle: a Stylised Test (2/2)

- Left: the seller's cumulative P&L (sum of daily P&L, in % of the price); right: histogram of the daily P&L
- 3 950 days: mean premium 0.76% vs mean absolute move 0.55%; the seller wins on 75% of days, 20.7 basis points a day
- Worst day −8.25% (2025-04-09), about 11 times the mean premium; stylised pricing measures the premium inside VIX9D, not traded 0DTE prices Bandi, Fusari & Renò (2023), Beckmeyer, Branger & Gayda (2023)

MFM_ch12_0dte_straddle

Case Study: the Research Question (1/2)

- **Questions** Back, Crotty & Kazempour (2022): option prices give lower bounds on the equity premium
  - Are these bounds valid conditionally?
  - Are they tight conditionally?
  - Do they forecast returns out of sample?
- Why: a tight bound is a real-time equity-premium forecast with no estimated parameter; in the regression of realised returns on the bound, Martin (2017) could not reject $\alpha = 0$, $\beta = 1$ on 1996–2012, a test with low power

Case Study: the Research Question (2/2)

- **Martin bound** (eq. 3), $R_{t,T}$ the gross market return, $R_{f,t,T}$ the gross riskless return, var_t^* the risk-neutral variance ($\mathrm{SVIX}^2_{t,T}$ not annualised here):
  - $E_t[R_{t,T}] - R_{f,t,T} \geq R_{f,t,T}\,\mathrm{SVIX}^2_{t,T}, \qquad \mathrm{SVIX}^2_{t,T} = \mathrm{var}_t^*(R_{t,T}/R_{f,t,T})$
  - Valid if $\mathrm{cov}_t(M_{t,T}R_{t,T}, R_{t,T}) \leq 0$ ($M_{t,T}$ the stochastic discount factor); tight if this covariance is zero, e.g. a log-utility investor who holds the market
- **Chabi-Yo–Loudis bound** Chabi-Yo & Loudis (2020): built from the first four risk-neutral moments, free of preference parameters in its restricted form
- **Link to this chapter**: SVIX is the static-spanning strip with $f = S^2$ (Section 2 and ▸ Appendix)
  - Realised slackness $s_{t,T} = R^e_{t,T} - b_{t,T}$ (excess return minus bound): valid means $E_t[s_{t,T}] \geq 0$, tight means $E_t[s_{t,T}] = 0$

Case Study: Data, Moments and Forecasting

- **Data** (Section 3 and Appendix C of the paper; filters: Appendix)
  - Daily Martin and Chabi-Yo–Loudis bounds, January 1990 – December 2020, from S&P 500 index options, interpolated to 30, 90, 180 and 360 days
  - S&P 500 excess returns over 21, 63, 126 and 252 trading days, annualised, in %
- **Moments** (eq. 10): $E[(R^e_{t,T} - b_{t,T})\, z_t] \geq 0$ for any nonnegative z_t known at t, with z_t a constant and nine Welch–Goyal predictors made positive Welch & Goyal (2008) (Table 3)
- **Forecasting**: bias-corrected predictive regressions Amihud & Hurvich (2004) (Tables 5, 6)
  - Amihud–Hurvich: a persistent predictor biases the OLS slope (Stambaugh bias), so the innovation of the predictor, estimated from a bias-corrected AR(1), is added as a regressor
- Monthly out-of-sample forecasts against the historical mean, measured by R^2_{OS}, the out-of-sample R^2 against that mean (Table 8; protocol: Appendix)

Case Study: the Kodde–Palm Tests

- Kodde & Palm (1986) (eqs. 11–14): $\bar{\lambda}$ is the vector of the 10 sample means, Σ their Hansen–Hodrick covariance Hansen & Hodrick (1980), with lags = days in the horizon
  - The Hansen–Hodrick covariance keeps, with equal weights, exactly the autocovariances created by the overlap of the return windows
- $D_1 = \min_{\lambda \geq 0}(\lambda - \bar{\lambda})^\top \Sigma^{-1}(\lambda - \bar{\lambda})$ tests validity (H_0: $\lambda_0 \geq 0$): the distance to the region where all moments are ≥ 0, zero if all are already positive
- $D_2 = \bar{\lambda}^\top \Sigma^{-1} \bar{\lambda} - D_1$ tests tightness (H_0: $\lambda_0 = 0$ vs $\lambda_0 \geq 0$): a large D_2 rejects tightness
  - Example with two moments and $\Sigma = I$: $\bar{\lambda} = (0.5, -0.2)$ gives $D_1 = 0.2^2 = 0.04$ and $D_2 = 0.29 - 0.04 = 0.25$; with $\bar{\lambda} = (0.5, 0.2)$, $D_1 = 0$ and $D_2 = 0.29$
- Under H_0 some inequality constraints bind and others do not: both statistics follow weighted mixtures of $\chi^2_0, \ldots, \chi^2_{10}$, with bounds on the critical values tabulated by Kodde & Palm (1986)

Case Study: Results (Tables 1, 3, 5, 6 and 8)

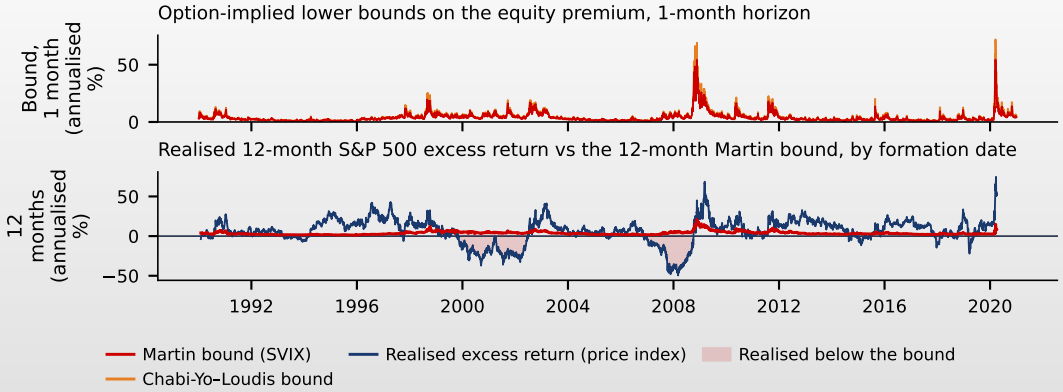
Horizon	Mean R^e (%)	Mean b (%)	D_1	D_2	$\hat{\beta}$ (SE)	R^2_{OS} (%)
1 month	8.76	3.81	0.00	29.93	1.36 (1.23)	−1.2
3 months	8.73	3.86	0.00	39.51	1.39 (1.47)	−1.2
6 months	8.67	3.83	0.00	49.28	1.78 (0.85)	−0.2
12 months	8.86	3.68	0.00	71.21	1.04 (0.88)	−3.0

- Source: Back, Crotty & Kazempour (2022), *Journal of Financial Economics*, Tables 1, 3, 5, 6 and 8
- **Validity not rejected**: all 10 sample moments are positive, so $D_1 = 0$ and $p = 100\%$ at every horizon; this does not prove validity in every state
- **Not tight**: D_2 exceeds 28.86, the upper 0.1% Kodde–Palm critical value for 10 restrictions, at every horizon (finite-sample p: 3.6, 0.4, 2.6, 8.3%); mean slackness 4.8 to 5.2 points a year: the bound is less than half of the realised premium
- **Forecasting**: slopes positive but imprecise (Table 5)
  - With the nine predictors as controls: a one-s.d. rise in the 12-month bound, a 6.6-point higher 12-month excess return (Table 6)
  - Bootstrap p-values 20.7%, below 0.1%, 0.2%, 9.5%; with a Holm correction for the four horizons (Section 11), only 3 and 6 months stay significant at 5%
- **Out of sample**: the Martin bound loses to the historical mean at every horizon; the best case, Chabi-Yo–Loudis at 6 months, reaches 4.3%, not significant (Table 8): low power is one possible explanation

Case Study: Do the Two Tightness Tests Agree?

- Same D_2, two yardsticks: the asymptotic critical value rejects tightness at every horizon; the finite-sample p-values reject at 5% at 1, 3 and 6 months, but not at 12 months
- With a Holm correction for four horizons (Section 11), the finite-sample test rejects only at 3 months ($0.4\% < 1.25\%$, then $2.6\% > 1.67\%$)
- The asymptotic test rejects at every horizon even after the correction
- Why they can disagree: 1990–2020 holds only about 31 non-overlapping 12-month windows, and the moments use persistent predictors, so Σ is imprecise and asymptotic critical values can be too small
- The finite-sample p is the more cautious reading; report both, never only the one that rejects (Seminar 12, C3)
- The mean slackness of 4.8–5.2 points a year does not depend on the test: economically, the bound covers less than half of the realised premium at every horizon

Case Study: the Bound and the Realised Premium (1/2)



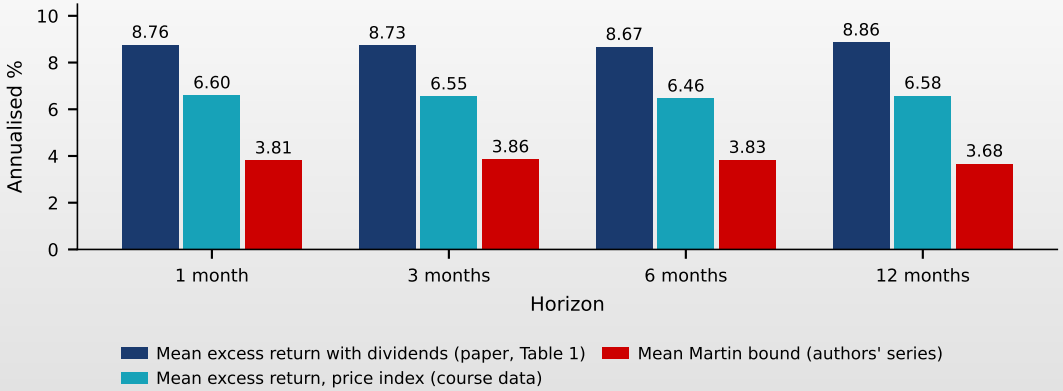
MFM_ch12_bck_bounds

Case Study: the Bound and the Realised Premium (2/2)

- Top: the authors' daily 1-month bounds, 1990–2020 (replication package); bottom, course data: 12-month excess return of the S&P 500 price index vs the 12-month Martin bound
- 1-month bound: median 2.7%, peak 54.4% (16 March 2020); 12-month bound: peak 21.1% (20 November 2008)
  - A risk-neutral variance, the bound jumps with the VIX in crises
- Chabi-Yo–Loudis $\geq$ Martin on 99.99% of days: negative skewness and fat tails raise it
- Realised 12-month excess return below the bound on 33% of dates (2000–2002, 2007–2008)
  - No contradiction: the bound restricts $E_t[R^e_{t,T}]$, not each realisation
- Correlation bound–realised 0.15 (overlapping, descriptive only): return noise dwarfs the bound, hence imprecise slopes and negative R^2_{OS}

MFM_ch12_bck_bounds

Case Study: Mean Premium and Mean Bound (1/2)



MFM_ch12_bck_bounds

Case Study: Mean Premium and Mean Bound (2/2)

- Dark blue: Table 1 of the paper (S&P 500 with dividends); red: mean of the authors' Martin bound
- Teal: course data (price index, the same formation days: 7789 at 1 month, 7598 at 12 months)
- Mean slackness on the course data: 2.79, 2.69, 2.63, 2.91 points a year at 1, 3, 6 and 12 months, vs 4.8–5.2 in the paper
  - The gap of 2.2–2.3 points is mostly the dividend yield missing from the price index
- The mean bound covers 41–44% of the premium with dividends and 56–59% of the price-index premium
- Single realisations fall below the bound on 41% of days at 1 month
- The average realisation never falls below the mean bound (Seminar 12, C3)

MFM_ch12_bck_bounds

Case Study: Replication and Limitations

- **Replicate** (Seminar 12, C3): the authors' daily bound series (replication package) and the S&P 500 daily closes of the course data
  - The daily risk-free rate (Kenneth French Data Library) and the Welch–Goyal predictors (Amit Goyal's data page)
  - Rebuild Table 1 and D_1, D_2 of Table 3
- **Limitations stated by the authors**
  - The series starts in 1990 because the bounds need option prices: the out-of-sample tests have little power (paper, Section 6)
  - Validity holds even when the bound is replaced by its time-series mean, so it says nothing about predictive power (paper, Section 4.3)
  - More recent bounds and formulas for risk premia are not tested (paper, Introduction)

Case Study: an Open Extension

- The course data have VIX, not SVIX: VIX weights OTM options by $1/K^2$ and exceeds SVIX when the left tail is priced (Martin (2017), Result 3)
  - Is the Martin bound still valid on 2021–2026 (the 2022 bear market, the 0DTE era of Section 9)?
  - Is a VIX-based bound still valid?
  - If not, can the Kodde–Palm test detect it?

The Section's Question and the Tools to Test It

- The section's question: does the VRP (Section 8) still predict equity returns after 2007?
- **Hodrick 1B** Hodrick (1992): instead of regressing overlapping h-month returns on VRP_t, regress the one-month return on the sum of the last h values of the regressor; the overlap moves to the regressor side, and the errors are no longer overlapping
- $R^2_{OS} > 0$: the predictive model has a lower mean squared forecast error than the historical mean; **Clark–West** Clark & West (2007) tests this for nested models, adjusting for the noise that estimating a truly zero slope adds to the larger model
- **Holm correction** for m tests (e.g. four horizons): sort the p-values, compare the smallest with α/m, the next with $\alpha/(m-1)$, and so on; stop at the first that fails
  - Example: $p = 0.01, 0.03, 0.04$, $\alpha = 0.05$, $m = 3$: $0.01 < 0.0167$ rejects, $0.03 > 0.025$ stops, so only one hypothesis is rejected, although all three $p < 0.05$

An Open Question: Does the VRP Still Predict Returns?

- Bollerslev, Tauchen & Zhou (2009), Table 2: monthly data 1990–2007, $y_t^{(h)} = \frac{12}{h}\sum_{j=1}^{h}(r_{m,t+j} - r_{f,t+j})$ on $\mathrm{VRP}_t = \mathrm{VIX}_t^2/12 - \mathrm{RV}_t$
  - RV_t: realised variance of month t; both terms in monthly, not annualised, $\%^2$ (a factor 12 below Section 8)
  - At $h = 3$: slope 0.47, Hodrick $t = 2.86$, adjusted $R^2 = 6.82\%$, the peak of a hump-shaped horizon profile
- Goyal, Welch & Zafirov (2024): 29 equity-premium predictors proposed after 2008, re-examined with data to 2021: over one third lose in-sample significance, half of the rest fail out of sample
- Open: is VRP predictability a stable price of variance and jump risk, or a property of 1990–2007? The 2008–2026 sample adds two crashes and the 0DTE era
- Formally: $H_0 : \beta_3 = 0$ vs $H_1 : \beta_3 > 0$ in $y_t^{(3)} = \alpha + \beta_3 \mathrm{VRP}_t + u_t$
  - Out of sample: H_0: the VRP forecast does not lower the mean squared prediction error of the historical mean; Clark–West statistic Clark & West (2007)

The Discovery Loop and What the Researcher Must Check (1/2)

- **Literature**: ask an assistant for peer-reviewed tests of VRP predictability since 2009 (DOI, digital object identifier; sample; table)
  - Check: resolve every DOI on Crossref and compare the cited table with the paper, digit by digit
- **Hypotheses**: time-varying risk aversion, jump-risk compensation, or a small-sample artefact of persistent regressors and overlapping returns
  - Check: each must imply something testable for the horizon profile, for 2008–2026 and for non-US markets

The Discovery Loop and What the Researcher Must Check (2/2)

- **Data and code**: build $\text{VIX}^2/12$ and monthly RV from the daily VIX and S&P 500 closes of the course data, reproduce Table 2 ($h = 3$) before extending anything
  - Check timing (VIX at the end of month t, returns from $t + 1$) and match the published means (implied 33.23, realised 14.93)
- **Robustness and critique**: a dated pre-analysis plan (horizons, start date, benchmark, Holm correction); a hostile-referee prompt
  - Check overlap (Hodrick errors Hodrick (1992)), horizon and start-date mining (R^2_{OS} against the start date), the weight of 2008 and 2020; full prompts: ▸ Appendix

Mini-Case: Replicate, Then Extend (1/2)

- A typical assistant proposal: "the VRP predicts the quarterly equity premium; extend the 2009 result to today". We test it on the course data
- Replication, February 1990 to September 2007, $h = 3$, daily data: $\hat{\beta}_{\mathbf{3}} = 0.42$, $t_{\text{Hodrick}} = 2.25$, adjusted $R^{\mathbf{2}} = 4.6\%$ (published: 0.47, 2.86, 6.82%)
  - Mean implied variance 33.1 is close to 33.23; mean realised 20.6 vs 14.93: daily close-to-close data
- Extension to May 2026 (436 months): $\hat{\beta}_{\mathbf{3}} = 0.09$, $t_{\text{Hodrick}} = 1.33$, adjusted $R^{\mathbf{2}} = 1.0\%$; all horizons with four kinds of standard errors: ▸ Appendix

Mini-Case: Replicate, Then Extend (2/2)

- Out of sample from January 2008: 221 expanding-window forecasts
  - $R^2_{OS} = 1 - \sum_t (y_t - \hat{y}_t)^2 / \sum_t (y_t - \bar{y}_t)^2 = -22.2\%$ Campbell & Thompson (2008); $\bar{y}_t$: historical mean up to t
  - Clark–West $t = 0.64$ ($p = 0.26$): H_0 not rejected
- Reading: sign and size replicate in-sample; the longer sample does not support stable predictability. Outliers, measurement or a vanished premium: that is the open part

MFM_ch12_ai_discovery

Your Turn: a Project on the VRP After 2008 (1/2)

- Questions
  - Does the VRP predict the equity premium after 2008?
  - Does the Bitcoin premium of Section 8 (DVOL) predict Bitcoin returns?
- Replicate first: Bollerslev, Tauchen & Zhou (2009), Table 2, $h = 3$ (the published numbers of the open question); explain every gap

Your Turn: a Project on the VRP After 2008 (2/2)

- Deliverables
  - A dated pre-analysis plan; the replication table; out-of-sample results for all horizons with a Holm correction
  - Robustness (subsamples, without 2008 and 2020; optionally 5-minute realised variance, if you have intraday data); a referee-style critique and your reply
- Log each prompt that shaped a decision in `AI_USE.md`; each invented reference, wrong number or look-ahead caught in `AI_ERRORS.md`, with the test that caught it (templates)

What Option Prices Measure, and Their Limits

- Parity, bounds and static spanning need no model; the tree and the Black–Scholes equation price by dynamic replication
- Discrete hedging leaves an error of order $1/\sqrt{N}$, and a delta-hedged option is a bet on realised vs implied variance
- Implied variance exceeded realised variance on average, on the S&P 500 and on Bitcoin
- The surface and the risk-neutral density are estimates: impose no-arbitrage constraints and report bands
- The VIX is a strip estimator with jump and truncation biases; as a forecast it needs joint tests, logs and HAC loss comparisons
- Option-implied bounds on the equity premium are valid (not rejected) but not tight in 1990–2020: evidence rests on average slackness, not on forecasting power
- "Not tight" is robust on the asymptotic test but less certain on the finite-sample tests after a multiple-testing correction

Check your understanding (1/2)

- Which pricing restrictions follow from no arbitrage alone?
- Which of the restrictions used in the chapter depend on the Black–Scholes assumptions?
- Why can a delta-hedged option lose money even when the model is right?
- What role does the gap between realised and implied variance play in the hedging result?
- Does a fitted smile automatically exclude arbitrage?

Check your understanding (2/2)

- How do you check the butterfly constraint for an SVI fit?
- Does a risk-neutral density forecast the real-world frequencies of returns?
- Why is the standard error $s/\sqrt{n}$ wrong for a mean over overlapping 21-day windows?
- Which standard error replaces it?
- How can two small t-statistics coexist with a large joint Wald statistic?

Open Questions in Option Research (1/2)

- **Frontier**
  - Andersen, Fusari & Todorov (2015): a left-tail factor in index-option surfaces, not spanned by volatility, predicts future equity and variance premia
  - Bali et al. (2023): nonlinear machine learning on option and stock characteristics predicts equity-option returns out of sample
  - Open: jointly estimated, arbitrage-free surfaces with valid confidence bands; the pricing of 0DTE options
- **Next**: Chapter 13, machine learning for financial prediction, with volatility and option-implied features among the inputs

Open Questions in Option Research (2/2)

- **Further reading**
  - Textbooks: Franke, Härdle & Hafner (2019), Härdle, Chen & Overbeck (2017), Čížek, Härdle & Weron (2011), Gatheral (2006)
  - Pricing kernels: Aït-Sahalia & Lo (1998), Grith, Härdle & Park (2013); crypto options: Matic, Packham & Härdle (2023), Alexander & Imeraj (2020)
  - Quantinar: XFG Advanced Methods in Quantitative Finance, Pricing Kernels and Risk Premia, Hedging Cryptocurrency Options
  - Quantlets: github.com/danpele/MFM/tree/main/Quantlets/Ch_12

Proof of Spanning, Moments and SVIX

- Proof for $S_T > F$: $\int_F^{S_T} f''(K)(S_T - K)\,dK = f(S_T) - f(F) - f'(F)(S_T - F)$ by parts; the put integral vanishes; symmetric for $S_T < F$
- Take $e^{-r\tau}E^Q[\cdot]$ with F the forward (a forward contract costs 0): a bond, a forward and a strip of OTM options with weights $f''(K)$ replicate any smooth pay-off
- **Moments**: $f = [\ln(S/F)]^n$, $n = 2, 3, 4$, price the raw risk-neutral moments of the log return; centring and standardising gives volatility, skewness and kurtosis Bakshi, Kapadia & Madan (2003)
- **SVIX** Martin (2017), from $f = S^2$: $\mathrm{SVIX}_t^2 = \dfrac{2}{\tau R_f S_t^2}\left[\displaystyle\int_0^F P\,dK + \int_F^\infty C\,dK\right] = \mathrm{var}_t^Q(R_T/R_f)/\tau$, with R_T, R_f gross returns
  - SVIX^2 gives the Martin lower bound on the equity premium (case study, Section 10)

Back

Why $1/\sqrt{N}$? The Discrete Hedging Error

- Over one interval $\Delta t = T/N$ the hedged book earns $\frac{1}{2}\Gamma S^2\left[\sigma^2\Delta t - (\Delta S/S)^2\right]$: time decay against realised squared return
- Mean 0 under the model to leading order in Δt; $\mathrm{Var}[(\Delta S/S)^2] \approx 2\sigma^4\Delta t^2$ and the terms are approximately uncorrelated, so $\mathrm{Var}(\text{error}) \approx \frac{1}{2}\sigma^4\Delta t\, E\int_0^T \Gamma_t^2 S_t^4\, dt$
- ATM call (derivation): $E[\Gamma_t^2 S_t^4] \approx \dfrac{K^2}{2\pi\sigma^2\sqrt{T^2 - t^2}}$ integrates to $K^2/(4\sigma^2)$, so s.d.
  $\approx \sigma K\sqrt{T/(8N)} = \sqrt{\pi/4}\,\mathcal{V}\sigma/\sqrt{N}$
  - The last equality holds exactly for the vega at $d_1 = 0$, $\mathcal{V}_0 = K\sqrt{T}\,\varphi(0)$; here $d_1 = 0.15$ and $\mathcal{V} = 0.989\,\mathcal{V}_0 = 19.72$, so at $N = 12$ the two forms give 1.02 and 1.01
- Asymptotic theory of the replication error: Bertsimas, Kogan & Lo (2000); it fails with jumps (the error does not vanish as $N \to \infty$), with stochastic volatility (vega risk) and with costs

Back

The Gamma Moment Behind the $1/\sqrt{N}$ Law

- ATM call, $S_0 = K$, $r = 0$, remaining time $\tau = T - t$: $\Gamma_t S_t^2 = S_t\,\varphi(d_1)/(\sigma\sqrt{\tau}) \approx K\varphi(d_1)/(\sigma\sqrt{\tau})$, with $d_1 \approx X/(\sigma\sqrt{\tau})$ and $X = \ln(S_t/K) \sim N(0, \sigma^2 t)$
- Gaussian integral: $E[\varphi(d_1)^2] = \dfrac{1}{2\pi} E\left[e^{-X^2/(\sigma^2\tau)}\right] = \dfrac{1}{2\pi}\sqrt{\dfrac{\tau}{\tau + 2t}}$, and $\tau + 2t = T + t$
- Hence $E[\Gamma_t^2 S_t^4] \approx \dfrac{K^2}{2\pi\sigma^2}\,\dfrac{1}{\sqrt{(T-t)(T+t)}} = \dfrac{K^2}{2\pi\sigma^2\sqrt{T^2 - t^2}}$, and $\displaystyle\int_0^T \frac{dt}{\sqrt{T^2 - t^2}} = \frac{\pi}{2}$ gives the integral $K^2/(4\sigma^2)$

Back

The Moment Formula for the Wings

- Moment formula of Lee (2004): $\beta_R = \limsup_{k\to\infty} w(k)/k \in [0,2]$ and $\tilde{p} = \frac{1}{2\beta_R} + \frac{\beta_R}{8} - \frac{1}{2}$
  - $\tilde{p} = \sup\{p : E^Q[S_T^{1+p}] < \infty\}$: a steeper wing means fatter tails; the left wing mirrors it with negative moments
- Bitcoin: the largest right slope 0.511 gives $\tilde{p} = 0.54$; a formal extrapolation calculation only: this fitted slice fails a butterfly check, so it does not identify a valid risk-neutral moment
- For SVI a right-wing slope below 2 also gives the tail condition $d_+(k) \to -\infty$ of Gatheral & Jacquier (2014), Lemma 2.2

Back

Estimators of the Risk-Neutral Density

- Fit a smile (SVI) and differentiate the implied call prices twice, as in the lecture
- Kernel regression of C on (K, τ) Aït-Sahalia & Lo (1998); the same under monotonicity and convexity in K Aït-Sahalia & Duarte (2003)
- Smoothness-penalised implied trees Jackwerth & Rubinstein (1996); shape-invariant pricing kernels Grith, Härdle & Park (2013)
- Tails beyond the quotes: SVI wings or an extreme-value tail; either way an assumption, not an estimate

Back

What the Strip Measures When Prices Jump

- With jumps J: the strip prices $\int \sigma_t^2 dt + 2\sum(e^J - 1 - J)$, but realised variance is $\int \sigma_t^2 dt + \sum J^2$
  - Gap $2E^Q \sum(e^J - 1 - J - J^2/2) \approx E^Q \sum J^3/3$: negative for crashes, so the strip understates expected realised variance Carr & Wu (2009)
- Merton model of Section 6 (one jump a year, mean -8%): strip 17.82 vs $\sqrt{E^Q[\text{QV}]} = 18.00$ vol points, -2.0% in variance (QV: quadratic variation, the realised variance including jumps)

Back

Truncation and Discretisation of the Bitcoin Index

- Only a finite set of strikes is quoted: truncating the strip biases the index down, a coarse grid biases it up Jiang & Tian (2005)
- The Bitcoin 30-day index from the same two expiries, in three valid variants:
  - from quoted prices: 40.03
  - from SVI prices at the same strikes: 39.99
  - from SVI on a dense grid inside the quoted range: 39.77
- Truncation does not explain the 1.9-point gap to DVOL: the three variants differ by at most 0.27 points; quote selection and methodology remain
- Extending SVI beyond the quotes ($k \in [-4, 4]$) is not a fourth estimate: the left wing of the 17-day expiry has slope $2.30 > 2$ (Lee's bound), so the extrapolated prices do not come from a valid density, and the integral gives 128.47, a value with no economic meaning

Back

Encompassing and Out-of-Sample Tests

- HAR-RV Corsi (2009): regressors are the realised variance averaged over the last 1, 5 and 22 trading days (daily, weekly, monthly); encompassing regression in logs Busch, Christensen & Nielsen (2011)
  - The target is $RV_{t,t+21}$ over the next 21 days: 22 is a look-back window, 21 the forecast horizon
  - VIX slope 0.90 (0.056); R^2: VIX 0.570, HAR 0.474, both 0.575
- Out of sample from 2000 (6 697 days; coefficients re-estimated every 21 days on targets already observed)
  - The QLIKE loss is robust to noise in the RV proxy Patton (2011)
  - Loss ratio VIX^2 / HAR: 0.94, Diebold–Mariano $t = -0.93$ ($p = 0.35$) Diebold & Mariano (1995); VIX corrected by the Mincer–Zarnowitz regression: 0.95 ($p = 0.35$)
- Targets overlap by 20 of 21 days: the Diebold–Mariano variance is HAC with 21 lags; instrumental variables by just-identified generalized method of moments (GMM) with a HAC covariance

Back

Does the Ex-Ante VRP Predict Returns? Overlapping-Horizon Inference

Horizon	$\hat{b}$	t_{NW}	t_{HH}	$t_{Hodrick}$	p_{boot}	R^2 (%)
$h = 1$	0.07	0.33	0.36	0.41	0.35	0.2
$h = 3$	0.09	0.69	0.67	1.33	0.07	1.2
$h = 6$	0.03	0.49	0.48	0.65	0.26	0.3
$h = 12$	−0.02	−0.64	−0.79	−0.54	0.69	0.2

- Monthly 1990–2026: $\frac{12}{h}\sum_{j=1}^{h} r^e_{t+j} = a + b\,\mathrm{VRP}_t + u_t$, $\mathrm{VRP}_t = VIX_t^2/12 - RV_t$, ex-ante proxy with past RV_t as the forecast; r^e_{t+j}: S&P 500 excess return of month $t+j$, h: horizon in months Bollerslev, Tauchen & Zhou (2009)
- $VIX_t^2/12$ uses the month-end VIX; RV_t is the sum of squared daily log returns (%) within month t

Back

VRP: Inference with Overlapping Horizons

- If one-month errors are serially uncorrelated, overlap makes u_t an MA($h-1$), a moving average of order $h-1$
  - Newey–West (t_{NW}, h lags), Hansen–Hodrick (t_{HH}) Hansen & Hodrick (1980), Hodrick 1B ($t_{Hodrick}$) Hodrick (1992): under the null its size is closer to the nominal level
  - In a given sample $t_{Hodrick}$ can still exceed t_{NW}: at $h = 3$, 1.33 vs 0.69
  - These bandwidths are choices, so check their sensitivity
- p_{boot}: one-sided, VRP simulated as AR(1), a first-order autoregression ($\hat{\phi} = 0.13$) under $b = 0$, residuals resampled jointly Stambaugh (1999)
- On the full 1990–2026 sample no horizon is significant; on 1990–2007 (Section 11) $h = 3$ is significant

Back

Case Study, Filters and Forecasting Protocol

- Option data: Cboe for 1990–1995 and 2020–2021, OptionMetrics for 1996–2019
- Filters: standard options only (no weekly or quarterly), bid > 0, the OTM option at each strike, 7 to 550 days, at least 10 strikes per expiry
- Returns: S&P 500 with dividends minus the Fama–French risk-free rate, up to March 2021
- Out of sample (Table 8): monthly forecasts against the expanding post-1926 market mean, 60-month initial window
  - $R^2_{OS} = 1 - \sum \varepsilon_t^2 / \sum \nu_t^2$, ε_t and ν_t the errors of the forecast and of the benchmark; Diebold–Mariano tests Diebold & Mariano (1995)

Back

The Discovery Loop, Reusable Prompts (1/2)

- **Literature**: "List peer-reviewed tests of VRP return predictability since 2009: DOI, sample, horizon, table, headline estimate."
  - Search with Semantic Scholar, Google Scholar or Elicit
- **Hypotheses**: "Give three competing explanations of VRP predictability and the testable implication of each for the horizon profile, for 2008-2026 and for non-US markets."
- **Data and code**: "Write Python that builds VIX squared/12 and monthly realised variance from the daily VIX and S&P 500 closes of the course data and reproduces Table 2 of Bollerslev, Tauchen and Zhou (2009), h = 3, with Hodrick (1992) standard errors."
  - Any assistant (Claude, ChatGPT, Gemini, GitHub Copilot)

Back

The Discovery Loop, Reusable Prompts (2/2)

- **Robustness**, fixed before the results: `"Draft a pre-analysis plan: horizons, out-of-sample start date, benchmark, test statistic and the multiple-testing correction across horizons."`
  - Placebo: VRP lagged 12 months or block-shuffled
  - Subsamples
  - Optional: 5-minute realised variance of SPY (from 2020), if you have intraday data, which the course data lack
- **Critique**: `"Act as a hostile referee: why could this out-of-sample R2 be spurious or biased, and which test settles each objection?"`
  - Expect: the checks of the main slide, plus the bias with persistent regressors
- **Report**: every horizon and specification tried, in one table, with the plan dated before the results and AI use logged

Back

Acronyms used in this material (1/2)

- **AI**: Artificial Intelligence
- **AR**: AutoRegressive model
- **ATM**: At-The-Money: strike close to the forward, $k = \ln(K/F) \approx 0$
- **BTC**: bitcoin, currency code of the cryptocurrency
- **COVID-19**: COronaVIrus Disease 2019
- **CRR**: Cox–Ross–Rubinstein (binomial tree)
- **DVOL**: Deribit Volatility Index
- **ETF**: Exchange-Traded Fund
- **GARCH**: Generalised AutoRegressive Conditional Heteroskedasticity
- **GBM**: Geometric Brownian Motion
- **GJR-GARCH**: Glosten–Jagannathan–Runkle GARCH
- **GMM**: Generalized Method of Moments
- **HAC**: Heteroskedasticity and Autocorrelation Consistent (standard errors)
- **HAR**: Heterogeneous AutoRegressive (model)
- **HAR-RV**: Heterogeneous AutoRegressive model of Realised Volatility
- **ITM**: In-The-Money: a put with $K > F$ or a call with $K < F$
- **IV**: Implied Volatility (mark IV; label of the Bitcoin term-structure chart), not instrumental variables
- **MA**: Moving Average

Acronyms used in this material (2/2)

- **OLS**: Ordinary Least Squares
- **OTM**: Out-of-The-Money: a put with $K < F$ or a call with $K > F$
- **QLIKE**: Quasi-LIKElihood (loss function)
- **QV**: Quadratic Variation
- **RV**: Realised Variance
- **SE**: Standard Error
- **SSVI**: Surface SVI (Gatheral–Jacquier parameterisation of the whole surface)
- **SVI**: Stochastic Volatility Inspired (parameterisation)
- **SVIX**: Simple VIX: index of simple variance swaps (Martin, 2017)
- **US**: United States
- **USD**: US dollar, international currency code
- **UTC**: Coordinated Universal Time (Temps Universel Coordonné)
- **VIX**: Cboe Volatility Index
- **VIX3M**: Cboe 3-Month Volatility Index
- **VIX9D**: Cboe 9-Day Volatility Index
- **VRP**: Variance Risk Premium
- **VVIX**: Cboe VIX of VIX Index
- **XFG**: Quantlet prefix of Applied Quantitative Finance (Härdle, Chen & Overbeck)

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